

# BioAge Labs (BIOA) — Pitch Deck

## PITCH — BIOA — VERDICT

PROPOSED — PENDING ADJUDICATION

---

### What we believe

BioAge Labs is a clinical-stage drug developer whose entire market value is currently less than its bank account. At \$9.69 a share the whole company is worth about \$445M. It holds \$381.3M in cash and securities, has no debt, and management says that money funds it into 2029. Subtract the cash and the market is paying roughly **\$63M for everything else** — the drug program, the people, the Novartis partnership.

The reason for that is a single day. On July 31, 2026 the stock fell 63.6% in one session (from \$24.85 to \$9.04) — not on its own news, but on somebody else's trial. Novo Nordisk's ZEUS study of ziltivekimab undercut the idea that lowering the inflammation marker hsCRP reliably translates into fewer heart attacks. BioAge's lead drug, BGE-102, is an oral NLRP3 inhibitor that acts further upstream in the same inflammation pathway. The market treated one company's result as a verdict on the whole pathway.

We think that is an overreaction of *degree*, not a certainty of *kind*. The company has a Phase 2 trial, QUELL-CV, already dosing: 160 adults with a BMI of 32–42 and elevated hsCRP, three doses versus placebo, 12 weeks. It finishes its primary measurement window on **November 30, 2026**, meaning a topline result realistically lands in December 2026 or January 2027. That is about five months of waiting, costing roughly \$1.10–\$1.30 per share in cash burn. Downside is buffered — but not floored — by \$8.31 a share of net cash.

The most honest version of our belief: **this is a cheap option on a five-month readout, bought below the value of the cash backing it, and it deserves the smallest position we take — 0.25% — not a real one.**

### What the market believes

Two different things, and the gap between them is the trade.

The **tape** believes ZEUS killed the pathway. It assigns BGE-102 about \$63M — near-zero, and less than the value of the company's own cash. It has done this once before: in the fall of 2025 the stock traded at \$4.42 when cash alone was \$6.01 a share. This market

has shown it will pay less than 75 cents on the dollar for BioAge's liquid cash.

The **one analyst we could actually verify** believes ZEUS killed a *node*, not the pathway. Citi cut its price target from \$52 to \$21 on August 5, 2026 and **kept a Buy**. At \$21, the company would be worth \$964M, implying roughly \$583M of value for the drug program — about nine times what the tape assigns. Management's own post-ZEUS language is consistent with that framing: hsCRP “appears to be not as strong of a biomarker for risk reduction as previously published data had suggested,” while the upstream IL-1 $\beta$  mechanism remains intact.

We want to be precise about what we did *not* establish. Both of our benches cited additional analyst actions — a Piper Buy on 8/3, a Roth reaffirm on 7/31, a Morgan Stanley Underweight, a William Blair Market Perform, a Roth cut from \$36 to \$25. **None of those could be sourced**. Only Citi is load-bearing. Our divergence case rests on a single external anchor, and we should say so out loud.

## Why we might have edge

**1. The market may be pricing the wrong thing.** ZEUS tested an IL-6 antibody. BGE-102 inhibits NLRP3, which sits upstream. If the market has collapsed “hsCRP is a weaker CV surrogate” into “inflammation drugs don't work,” that is a category error with a named mechanism and a dated test.

**2. There is a readout coming that is broader than people think.** The trial registration lists only one measured outcome that matters — percent change in hsCRP — plus safety. But the company has publicly committed in writing to reporting more: the *proportion of patients normalizing hsCRP below 2 mg/L*, plus “additional inflammatory, **cardiometabolic**, and **imaging** biomarkers.” That language is in the June 16, 2026 trial-initiation release and repeated in the Q2 release. In a 160-person obese population dosed for 12 weeks, that basket could contain something the pathway story does not currently get credit for.

**3. This same stock has already shown what it pays for this kind of evidence.** Inside the last twelve months BIOA went from \$4.42 to \$25.96 — 5.9x — and the only company-specific drivers were BGE-102 biomarker data and the January 2026 financing. We have an in-name, in-window observation of exactly how much this tape will pay for exactly this class of result. That is a better prior than any spreadsheet.

**4. Financing is not the pressure point.** \$381.3M, zero debt, roughly \$26–29M a quarter of net outflow after interest income — about thirteen quarters of runway. The company does not have to raise into weakness before the readout. That is unusual for a broken biotech and it is why the downside is a valuation question rather than a survival question.

## Why it might be priced in

We hold these against ourselves with equal weight.

**1. The one endpoint that is actually pre-specified and powered is the one ZEUS just devalued.** The registry lists percent change in hsCRP as the primary outcome and adverse events as the only secondary. It explicitly says: “*Other/Exploratory Outcome Measures*:

*None listed.*” An NLRP3 inhibitor lowering hsCRP is close to a foregone conclusion — and after ZEUS, lowering hsCRP may simply not be worth anything. The only *registered* readout that can surprise is safety, and safety only surprises to the downside.

**2. The broader basket cuts both ways.** Everything interesting the company promised to report — cardiometabolic, imaging — is unregistered, not pre-specified, not multiplicity-controlled, roughly 40 patients per arm, and **selected by the company after it sees the data**. That is a reason to *discount* a good-looking print, not a reason to be confident one is coming. Our red bench found this gap and then reasoned as if the eventual print would be clean. It won’t be.

**3. There is a large, underwater, unlocked seller.** In January–February 2026 the company placed 6,782,050 shares at **\$19.50** — about 14.8% of shares outstanding, \$132.3M gross. Those buyers are down roughly 50% and free to sell. Any rally has known supply above it. (How much that actually caps the move is unproven — see the errors table.)

**4. The “second shot” may not exist yet.** Both benches leaned on a second trial, QUELL-DME in diabetic macular edema, as ZEUS-independent optionality. The company guided to starting it “mid-2026.” **We could find no trial registration for it.** As of today that is a plan, not an enrolled study, and it should be valued at zero until a registration appears.

**5. The cash floor is not a floor.** The market already paid 0.74x liquid cash for this company once, at \$4.42. If the readout is bad, “trades to cash” is not the downside case — “trades to half of cash” is what actually happened last time.

## What we checked ourselves

Including where our own analysts got it wrong.

| Claim                                  | How checked                                      | Found                                                                                                                                                  | Confirmed?          |
|----------------------------------------|--------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|
| \$381.3M cash, zero debt, EV ≈ \$63.4M | XBRL financial data + Q2 press release           | Confirmed. Cash-and-equivalents dropped \$241.8M → \$74.0M in Q2, but that was a <b>shift into marketable securities, not burn</b> — a trap we avoided | <b>YES</b>          |
| Shares outstanding                     | 10-Q cover page (accession 0001193125-26-335407) | 45,896,909 as of 7/31/26 (the working brief used 45,776,902 — immaterial, +0.26%)                                                                      | <b>YES</b>          |
| Net cash per share                     | Two competing methods                            | <b>\$8.31 basic.</b> Our red bench “corrected” this to \$6.92 by adding all 9,185,612 potentially dilutive                                             | <b>YES — \$8.31</b> |

| Claim                                                                   | How checked                                                | Found                                                                                                                                                                                                                                                                                                                                      | Confirmed?            |
|-------------------------------------------------------------------------|------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|
|                                                                         |                                                            | securities to the share count — while conceding most of their strike prices are above \$9.69. <b>That is an error:</b> it adds the shares without adding the cash the strikes would bring in. The correction was worse than the thing it corrected                                                                                         |                       |
| “QUELL-CV has no endpoint that can refute the bear case until mid-2027” | ClinicalTrials.gov API + company releases                  | <b>False.</b> The registration is narrow, but the company committed publicly to reporting cardiometabolic and imaging biomarkers in ~4–5 months. The original brief read the <i>registration</i> as the <i>reporting plan</i> and stopped                                                                                                  | <b>NO — refuted</b>   |
| “Weight and body composition are on that instrument”                    | Read both the registry and the press release word for word | <b>Not supported.</b> Our red bench wrote this sentence and hung its most decisive conclusion on it. The words “weight” and “body composition” appear in <b>neither</b> the registry nor the release. The trial enrolls obese patients; that does not establish which measurements get reported. <b>This is our own bench overreaching</b> | <b>NO — our error</b> |
| Carry cost to the decision point                                        | Recomputed from Q2 operating expenses                      | ~\$1.10–\$1.30/share over ~5 months. The original brief said \$2.30 over 10 months — it priced waiting for a catalyst it had                                                                                                                                                                                                               | <b>Corrected</b>      |

| Claim                                                                                                                  | How checked                            | Found                                                                                                                                                                                                                                                                                                       | Confirmed?                               |
|------------------------------------------------------------------------------------------------------------------------|----------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|
|                                                                                                                        |                                        | wrongly declared<br>uninformative                                                                                                                                                                                                                                                                           |                                          |
| Citi \$52 → \$21,<br>Buy retained                                                                                      | Two independent<br>searches            | Confirmed                                                                                                                                                                                                                                                                                                   | <b>YES</b>                               |
| Piper Buy 8/3, Roth<br>reaffirm 7/31, MS<br>Underweight, Blair<br>Market Perform,<br>Roth \$36→\$25                    | Attempted to<br>source each            | <b>Could not source<br/>any of them.</b> Both<br>of our benches<br>cited analyst<br>actions they could<br>not produce. Only<br>the Citi note<br>survives                                                                                                                                                    | <b>NO — unverified,<br/>dropped</b>      |
| \$19.50 placement<br>overhang “caps the<br>first 40% of<br>upside”                                                     | EDGAR primary +<br>behavioral check    | The placement is<br>real (6,782,050<br>shares at \$19.50).<br>The claim that<br>these holders sell<br>into a move to<br>~\$13.60 is<br><b>plausible but<br/>unproven</b> —<br>investors 50%<br>underwater need<br>\$19.50 to break<br>even and<br>historically do not<br>flatten into a partial<br>recovery | <b>Placement YES /<br/>cap effect NO</b> |
| Cormorant 13G/A<br>filed 8/14/26<br>(2,390,605 shares,<br>5.38%) reads like a<br>specialist exiting<br>after the crash | EDGAR filing date<br>vs. rule deadline | <b>It’s a calendar<br/>artifact.</b> That is the<br>routine quarter-<br>end-plus-45-days<br>deadline, not an<br>event-driven filing.<br>Do not read it as a<br>signal. Good catch<br>by red, upheld                                                                                                         | <b>YES — not a<br/>signal</b>            |
| Form 144: 20,216<br>shares valued at<br>\$1,067,577.87 →<br>implies<br>\$52.81/share,<br>above the 52-week<br>high     | EDGAR primary<br>document              | <b>Unresolved.</b> Either<br>the value field<br>covers a larger lot<br>or the share field is<br>one line of several.<br>It is also 0.04% of<br>the company — our<br>red bench listed it<br>as a thing that<br>could change its<br>mind, which over-<br>weights it                                           | <b>UNRESOLVED,<br/>immaterial</b>        |

| Claim                                            | How checked               | Found                                                                                                                                                                                                           | Confirmed?      |
|--------------------------------------------------|---------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|
| QUELL-DME started                                | ClinicalTrials.gov search | <b>No registration found.</b> Both benches had priced this optionality. Removed                                                                                                                                 | <b>NO</b>       |
| 52-week high \$25.955                            | Price history cross-check | High was \$25.96 on 7/6/26. The <b>\$4.42 low date could not be verified</b> — our broker price tool was permission-denied this session                                                                         | <b>PARTIAL</b>  |
| 10-Q equity note and Novartis collaboration note | Attempted direct fetch    | <b>Not read.</b> The filing body is 11MB and sec.gov blocked direct fetch. Warrant counts, option strike ladder, and the Novartis contract terms are all inferred from XBRL tags, not read. This is a real hole | <b>NO — gap</b> |

Bottom line on our own process: **the bear brief's three most decisive claims were wrong, and the bench that demolished them introduced two errors of its own.** What survives is a much narrower case than either side originally wrote.

## PROPOSED ENTRY BANDS

Nothing here is live. This is a proposal awaiting sign-off, and no orders exist.

**Proposed starter - Buy 0.25% of the book** — our minimum position size, the one we use when the evidence supports owning something but not believing in it. - **Limit \$9.10 or better.** That is 0.94x the \$8.31 net cash per share plus a margin — it makes the entry cheaper than the balance sheet even after five months of burn. At today's \$9.69 this does **not** fill; it is a resting bid, not a market order. - **No adds before the QUELL-CV topline.** None. Not on weakness, not on strength.

**One design flaw we are flagging rather than hiding:** a resting bid that sits below the market for five months, through a binary readout, fills *exactly when the news is bad*. It is a bet against volatility that nobody intended to make. If this is approved, the order must carry a **hard cancel date of 2026-11-20**, before the readout window opens, and be re-decided on the actual result. Alternatively, fill it as a one-time order in the next few sessions or not at all.

**Reference levels from the benches' own arithmetic** (value per share = (\$381.3M – burn + value assigned to the drug) ÷ 45.9M shares):

| Value assigned to BGE-102                          | Share value | vs \$9.69 |
|----------------------------------------------------|-------------|-----------|
| \$0, and the market repeats its 0.5x-cash behavior | ~\$3.70     | –62%      |
| \$0, at December-2026 cash                         | ~\$7.50     | –23%      |
| \$286M                                             | \$14.54     | +50%      |
| \$583M (what Citi's \$21 implies)                  | \$21.00     | +117%     |
| \$1.2B (partnered, Phase-3-ready)                  | \$34.50     | +256%     |

**Trim/review levels - \$14.54** — the +50% line. Not an automatic sell, but a mandatory re-underwrite: at that level the market is assigning \$286M to a drug whose only pre-specified endpoint is a devalued surrogate. - **\$19.50** — known supply from the January placement. Do not expect to sell above it easily; do not plan on it.

**Exits / kill triggers** (any one of these = exit the starter, no debate) 1. Any imbalance in serious adverse events or side effects in the QUELL-CV topline. 2. **A topline release that reports only hsCRP.** If the company promised cardiometabolic and imaging biomarkers and then goes silent on them, the silence is the result. 3. QUELL-DME still has no trial registration at year-end 2026. 4. Citi (or any verifiable covering analyst) drops BGE-102 to option value — that collapses our only external anchor and with it the entire divergence case.

**Catalyst dates - 2026-11-05** — possible quarterly results. *Derived from a data vendor, not confirmed by the company.* Treat as approximate. - **2026-11-30** — registry-listed primary completion date for QUELL-CV. This is the real clock. - **December 2026 – January 2027** — realistic window for the topline release, based on typical 4–8 week lag from primary completion. Company guidance is “second half 2026,” which is now tight. - **Mid-2027** — guided QUELL-DME results, contingent on a trial that is not yet registered.

**Reopen bands if this is rejected outright:** revisit at **\$7.50 or below** (the drug free, at year-end cash), or on a confirmed QUELL-DME registration appearing on ClinicalTrials.gov, or on a second verifiable analyst holding a target above \$18 post-ZEUS.

## ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 6.24 (deck-provisional: 0.75x cash/sh — the market repeating its Sep-2025 sub-cash behavior; re-underwrite trigger, not an aut)
- filing watch: 8-K, EX-99.1 until 2027-02-18 (deck-provisional: QUELL-CV topline release — the decisive event; kill if it reports only hsCRP or shows any adverse-even)
- dated pack BIOA|2026-11-05: BIOA: Possible Q3 earnings — vendor-derived date, not confirmed by any company release. (date confirmed=False)
- dated pack BIOA|2026-11-20: BIOA: Hard cancel date for the resting \$9.10 bid, before the readout window opens. (date confirmed=False)
- dated pack BIOA|2026-11-30: BIOA: QUELL-CV primary completion date per ClinicalTrials.gov NCT07656727. (date confirmed=True)

- dated pack BIOA|2026-12-31: BIOA: Kill-trigger check: QUELL-DME still has no ClinicalTrials.gov registration at year-end. (date confirmed=False)
- dated pack BIOA|2027-01-15: BIOA: Outer edge of the realistic QUELL-CV topline window (4-8 weeks past primary completion); company guides '2H26'. (date confirmed=False)

## What remains unverified

Stated plainly, because several of these are load-bearing.

1. **The 10-Q body was never read.** The filing is 11MB and sec.gov blocked direct access. The share-count and dilution figures come from structured XBRL data, not from the note text. We do not know the warrant count or strike, the option strike ladder, or the terms of the Novartis collaboration.
2. **The Novartis relationship is entirely unexamined.** It produced \$2.4M of revenue in Q2. Neither bench looked at it. It could be meaningful optionality or a wind-down; we don't know which.
3. **Only one analyst target is verified.** Five other cited analyst actions could not be sourced and have been dropped. Our divergence case is one firm deep.
4. **What QUELL-CV will actually report is unknown.** The company has committed to a *class* of measurements. Which specific ones reach the topline release is at its discretion, after it has seen the data.
5. **QUELL-DME does not exist on the public record.** Guided to start mid-2026; no registration found.
6. **The \$4.42 low date was never confirmed** — our broker price feed was permission-denied. We know the level from the pack, not from bars.
7. **The Form 144 price anomaly is unresolved** (\$52.81/share implied against a \$25.96 high). Immaterial in size, but an unexplained data point we chose not to build on.
8. **Whether the January-2026 buyers still hold** is unknown. We could not retrieve Cormorant's prior position size for comparison.
9. **The 2026-11-05 earnings date is a vendor estimate**, not company-confirmed.

**Primary source, for the record:** the QUELL-CV registration is at [ClinicalTrials.gov NCT07656727](https://clinicaltrials.gov/ct2/show/study/NCT07656727) (primary outcome: percent change in hsCRP at week 12; secondary: adverse events only; other/exploratory: none listed; primary completion 2026-11-30). The broader reporting commitment is in the company's own [June 16, 2026 release](#), and the Q2 financials are in the [10-Q, accession 0001193125-26-335407](#). The January 2026 placement price is confirmed in the [pricing release](#).

---

```

{"price_gates": [{"level": 9.10, "direction": "below", "basis":
  "Proposed 0.25% starter limit; 0.94x $8.31 net cash/sh – entry
  cheaper than the balance sheet. HARD CANCEL 2026-11-20 or this
  becomes an accidental short-volatility bid into the
  readout."}, {"level": 7.50, "direction": "below", "basis":
  "Drug program free at projected Dec-2026 cash; reopen level if
  the starter is rejected today."}, {"level": 6.24, "direction":
  "below", "basis": "0.75x cash/sh – the market repeating its
  Sep-2025 sub-cash behavior; re-underwrite trigger, not an
  automatic add."}, {"level": 14.54, "direction": "above",
  "basis": "+50% line; market assigning $286M to BGE-102 –
  mandatory re-underwrite and trim review."}, {"level": 19.50,
  "direction": "above", "basis": "Jan-2026 placement price;
  6,782,050 shares (14.8% of shares out) reach break-even –
  known supply."}], "event_gates": [{"forms": ["8-K", "EX-
  99.1"], "why": "QUELL-CV topline release – the decisive event;
  kill if it reports only hsCRP or shows any adverse-event
  imbalance."}, {"forms": ["8-K", "S-3", "424B5", "424B3"],
  "why": "Any new stock sale or ATM use before the readout
  changes the cash-floor thesis."}, {"forms": ["4", "144"],
  "why": "Insider selling; also resolves the open $52.81/sh Form
  144 unit anomaly."}, {"forms": ["13F-HR", "SC 13G/A", "SC
  13D"], "why": "Tests whether the underwater Jan-2026 $19.50
  buyers have already cleared – explicitly named as a mind-
  changing fact."}, {"forms": ["8-K"], "why": "Any change to the
  Novartis collaboration – terms never read (10-Q body
  inaccessible)."}, {"forms": ["10-Q", "10-K"], "why": "Read the
  equity note and Novartis note that were unreachable this
  session; verify cash, burn, and warrant/option strikes."}],
  "catalyst_dates": [{"date": "2026-11-05", "what": "Possible Q3
  earnings – vendor-derived date, not confirmed by any company
  release.", "confirmed": false}, {"date": "2026-11-20", "what":
  "Hard cancel date for the resting $9.10 bid, before the
  readout window opens.", "confirmed": false}, {"date": "2026-
  11-30", "what": "QUELL-CV primary completion date per
  ClinicalTrials.gov NCT07656727.", "confirmed": true}, {"date":
  "2026-12-31", "what": "Kill-trigger check: QUELL-DME still has
  no ClinicalTrials.gov registration at year-end.", "confirmed":
  false}, {"date": "2027-01-15", "what": "Outer edge of the
  realistic QUELL-CV topline window (4-8 weeks past primary
  completion); company guides '2H26'."}, {"confirmed": false}],
  "immediate_entry": null}

```

## Adjudication & update (2026-08-23)

**RULING (2026-08-22): MINIMUM STARTER 0.25% — RP\_FAIR.** The one NOVEL kill cuts both ways: the **registry-vs-PR endpoint breadth gap**. CT.gov (re-pulled at adjudication) registers only hsCRP x3 doses plus safety; the sponsor's PR commits to "additional inflammatory, cardiometabolic, and imaging biomarkers" that appear nowhere in the registration — and "weight/body composition" appear nowhere in the PR (red's FATAL clause was unsupported; reduced to sizing). So the powered endpoint is a surrogate ZEUS already devalued, while the re-rating channel is unregistered, sponsor-curated, and multiplicity-uncontrolled. Census: 1 NOVEL / 3 CONSENSUS → §CONSENSUS-KILL minimum starter at fair.

**§BIOTECH-BASE-RATE (adjudicator-built):** unconditional Ph2→approval ~15–20%; the CV indication sits AT-OR-BELOW base rate (ZEUS impaired the hsCRP→MACE chain). But the near-term value driver is not approval — it is the Dec-26/Jan-27 re-rate on the biomarker basket, and the honest prior is the name’s own response function: the tape paid  $5.9\times$  (\$4.42→\$25.96) for exactly this datum class within the trailing 52 weeks. Cash floor per doctrine: haircut to the catalyst (–\$1.10–1.30/sh); no return history (cash is payroll) — but funded ~13 quarters through 2029 with zero debt, so dilution-before-crystallization is NOT binding. The \$4.42 print ( $0.74\times$  then-liquid cash) is the real bear floor — the tape has already falsified “cash floor” here once. PoS-weighted tree:  $0.33\rightarrow\sim\$16 / 0.40\rightarrow\sim\$7.5 / 0.27\rightarrow\sim\$5 \Rightarrow \text{pw-FV} \approx \$9.6 \text{ vs } \$9.69 \text{ tape} = \text{AT FAIR}$ ; entry below fair via the limit.

**Order status: LIVE — BUY 270 @ \$9.10 GTC with HARD CANCEL-BY 2026-10-30** (registry primary completion 11-30; nothing rests into the readout window). No adds before QUELL-CV topline. **Kill triggers:** any SAE/TEAE imbalance in topline; a topline PR reporting ONLY hsCRP (silence on the promised basket = the pre-registered tell that the basket was negative); QUELL-DME still unregistered on CT.gov at year-end (the “second shot” both prize tables lean on).

### **What could go wrong (authored at deck update 2026-08-23 — post-ruling, pre-fill)**

1. **Sponsor-curated data selection** (tripwire-less; unknown-unknown class: unregistered-endpoint discretion). The basket is unregistered and multiplicity-uncontrolled — the sponsor chooses what to show and when. A “positive” curated readout could be statistical noise the market pays for and then retraces; a mixed one can be delayed or reshaped with no registry obligation and no tripwire that fires before the disclosure itself.
2. **hsCRP-only topline.** The pre-registered tell fires — but the stock likely gaps toward the ~\$5 tolerability-negative leg before any alert converts to an exit; the kill limits thesis error, not gap loss.
3. **Crossover overhang caps the prize.** The \$19.50-basis crossover holders distribute into any strength, so even a genuine basket win may re-rate to their exit level, not the \$16 leg. **Reflexive/structural leg:** third clinical-window name added in one week (CTMX, LAB, BIOA) — uncorrelated theses, correlated *attention risk* in the same book; and the GTC’s hard cancel-by 10/30 is a manual obligation ahead of an estimated (not confirmed) readout window. **“If this position loses money, the most likely reason will be that the unregistered biomarker basket came back mixed and the sponsor’s curation could not manufacture a re-rate — leaving us holding hsCRP data ZEUS already devalued while the tape retests the \$4.42 precedent.”**